

2. Is life expectancy calculated from current year mortality rates or projected future mortality rates?

Probably the most commonly used source of mortality data is the Social Security Administration's (SSA) Period Life Tables. A period life table makes calculations about remaining lifetimes using the mortality data from one year. For instance, calculations for the life expectancy of a sixty-five-year-old would use the year's mortality rates for different ages in that one year. How many seventy-year-olds died that year? Eighty-year-olds? And so on. This method has the advantage of using actual data without requiring any sort of projections, but it is bound to underestimate life expectancies on account of the persistent trends of increasing life expectancies over time.

Exhibit 2.2 provides period life table historical data from the Centers for Disease Control to show remaining life expectancies for males and females at different points in history. Between 1950 and 2010, the additional remaining years expected after age sixty-five increase by 4.9 years for males and 5.3 years for females. Much of these gains took place more recently. Over the course of twenty years—from 1990 to 2010—males reaching sixty-five added 2.6 more years, while females could expect 1.4 more years. Though demographers debate extensively whether humans have reached the peak of our potential longevity, or whether we are on the verge of seeing someone make it to 150, it is reasonable for planning purposes to at least expect such longevity trends to continue. If longevity improves by about one year per decade, today's thirty-five-year-olds could expect to live three years longer than today's sixty-five-year-olds.

Exhibit 2.2

Historical Data for Remaining Life Expectancy at Age 65